The following table analyzes the performance of the six largest investment companies (as of Dec. 31, 1939) for the 4- and 6-year periods ending on that date. The over-all results are compared with the Standard Statistics 420-stock index, which is the most comprehensive available. The dividend return on this index is, somewhat arbitrarily, estimated as the same in percentage as that on the Dow-Jones average of 30 industrial stocks.

The following brief tabulation compares the holdings of cash and government bonds by 12 investment companies on various dates in 1937–1939 with the Dow-Jones industrial average on those dates. It will be observed that cash holdings move inversely with the average, suggesting that the companies tend to buy in rising markets and sell in declining markets.

Date	Dow-Jones industrial average	Cash and U. S. Bonds held by 12 investment companies[1]
Sept. 30, 1937	154.5	$35,057,000
Mar. 31, 1938	99.	82,796,000
Dec. 31, 1938	154.8	27,093,000
June 30, 1939	130.6	35,858,000
Sept. 30, 1939	152.5	23,775,000

[1] The companies are: Adams Express, Blue Ridge, Equity Corp., General American, Incorporated Investors, Lehman Corp., Niagara Share, Quarterly Income Shares, Selected Industries, Tri-Continental, U. S. & Foreign Securities, U. S. & International Securities.

NOTE 48

The difference between the standard and the "last-in, first-out" methods of computing cost of goods sold can be illustrated by the following simplified and hypothetical example:

A company starts with 10,000,000 pounds of copper, buys 10,000,000 pounds each year for three years and sells 10,000,000 pounds a year at a 2 cent advance above the market. The initial cost and market price is 10 cents; the average cost and closing price is 15 cents the first year, 5 cents the second year and 10 cents the third year.

Obviously the company ends up where it started in inventory and has made a continuous profit of 2 cents per pound. Common sense would insist that the company has made (gross) $200,000 each year. But the standard accounting method would show a profit of $700,000 the first year, a loss of $800,000 the second year and a profit of $700,000 the third year. In the years prior to 1939, when no carry-over of losses was permitted, the company would be subject to income tax on